

HFCB Group PLC

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UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 30TH JUNE 2026

I	STATEMENT OF FINANCIAL POSITION	BANK				GROUP			
		30.06.2025	31.12.2025	31.03.2026	30.06.2026	30.06.2025	31.12.2025	31.03.2026	30.06.2026
		UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)	Audited (Ksh'000)	UnAudited (Ksh'000)	UnAudited (Ksh'000)
ASSETS									
1	Cash balances (both local and foreign)	416,263	485,215	466,578	454,696	416,263	485,215	466,578	454,696
2	Balances due from Central Bank of Kenya	2,573,895	1,523,373	1,996,774	3,955,976	2,573,895	1,523,373	1,996,774	3,955,976
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-	-
a)	Held to Maturity:	3,739,053	3,682,520	3,645,919	3,571,740	3,739,053	3,682,520	3,645,919	3,571,740
a.	Kenya Government securities	3,739,053	3,682,520	3,645,919	3,571,740	3,739,053	3,682,520	3,645,919	3,571,740
b.	Other securities	-	-	-	-	-	-	-	-
b)	Available for sale:	20,158,568	24,584,782	30,011,740	30,128,782	20,158,568	24,584,782	30,011,740	30,128,782
a.	Kenya Government securities	20,158,568	24,584,782	30,011,740	30,128,782	20,158,568	24,584,782	30,011,740	30,128,782
b.	Other securities	-	-	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	292,409	58,054	1,203,794	150,206	292,409	58,054	1,203,794	150,206
7	Deposits and balances due from banking institutions abroad	357,875	222,685	510,804	334,705	357,875	222,685	510,804	334,705
8	Tax recoverable	218,725	214,599	125,688	33,299	365,281	365,293	269,061	179,913
9	Loans and advances to customers (net)	39,806,384	41,901,454	42,542,658	44,192,850	38,937,907	41,107,862	41,751,703	43,407,095
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-	-
12	Investments in subsidiary companies	-	-	-	-	-	-	-	-
13	Investment in Joint ventures	190,733	190,865	190,865	235,865	1,756,388	1,828,458	1,846,164	1,979,084
14	Investment properties	810,000	810,000	810,000	810,000	1,905,000	1,905,000	1,905,000	1,905,000
15	Property and equipment	852,168	1,074,925	1,163,503	1,268,488	893,767	1,149,052	1,240,081	1,347,167
16	Prepaid operating lease rentals	-	-	-	-	-	-	-	-
17	Intangible assets	320,715	486,398	482,222	491,723	328,538	494,017	492,643	501,924
18	Deferred tax asset	1,152,118	945,565	782,083	1,125,753	1,401,756	1,229,813	1,069,288	1,413,348
19	Retirement benefit asset	-	-	-	-	-	-	-	-
20	Other assets	3,464,451	3,317,846	3,519,442	3,691,364	3,782,275	3,763,265	4,115,893	4,713,623
21	TOTAL ASSETS	74,353,356	79,498,280	87,452,069	90,445,446	76,908,975	82,399,388	90,525,443	94,043,260
B. LIABILITIES									
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-	-
23	Customer deposits	52,642,893	56,149,478	65,800,303	68,385,232	52,498,628	55,874,372	65,479,681	68,077,277
24	Deposits and balances due to local banking institutions	-	1,022,568	-	889,609	-	1,022,568	-	889,609
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-	-
27	Borrowed funds	4,224,447	3,601,847	2,194,193	2,044,069	4,224,447	3,601,847	2,194,193	2,044,069
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-
29	Tax payable	-	-	-	-	-	-	-	-
30	Dividends payable	-	-	-	-	246	246	246	246
31	Deferred tax liability	-	-	-	-	903	-	903	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-
33	Other liabilities	1,756,159	2,276,417	2,326,064	2,385,228	3,431,760	4,226,022	4,369,194	4,795,459
34	TOTAL LIABILITIES	58,623,499	63,050,310	70,320,560	73,704,137	60,155,984	64,725,055	72,044,218	75,806,660
C. SHAREHOLDERS' FUNDS									
35	Paid up /Assigned capital	10,820,000	10,820,000	10,820,000	10,820,000	9,427,440	9,427,440	9,427,440	9,427,440
36	Share premium/(discount)	3,513,662	3,513,662	3,513,662	3,513,662	2,649,338	2,649,338	2,649,338	2,649,338
37	Revaluation reserves	610,667	610,666	610,667	610,667	1,312,129	1,312,129	1,312,129	1,312,129
38	Retained earnings/Accumulated losses	(4,636,761)	(3,935,840)	(3,643,332)	(3,261,688)	(2,077,212)	(1,173,061)	(757,200)	(229,980)
39	Statutory loan loss reserves	4,818,231	4,640,537	4,703,359	4,698,746	4,818,231	4,640,537	4,703,359	4,698,746
40	Other Reserves	604,059	798,944	1,127,153	359,922	623,066	817,950	1,146,159	378,928
41	Proposed dividends	-	-	-	-	-	-	-	-
42	Capital grants	-	-	-	-	-	-	-	-
43	TOTAL SHAREHOLDERS' FUNDS	15,729,857	16,447,969	17,131,509	16,741,309	16,752,991	17,674,333	18,481,225	18,236,600
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	74,353,356	79,498,280	87,452,069	90,445,446	76,908,975	82,399,388	90,525,443	94,043,260

II	STATEMENT OF COMPREHENSIVE INCOME	BANK				GROUP			
		30.06.2025 UnAudited (Ksh'000)	31.12.2025 Audited (Ksh'000)	31.03.2026 UnAudited (Ksh'000)	30.06.2026 UnAudited (Ksh'000)	30.06.2025 UnAudited (Ksh'000)	31.12.2025 Audited (Ksh'000)	31.03.2026 UnAudited (Ksh'000)	30.06.2026 UnAudited (Ksh'000)
1	INTEREST INCOME	-	-	-	-	-	-	-	-
1.1	Loans and advances	2,417,132	4,791,450	1,167,650	2,374,551	2,331,583	4,629,291	1,135,418	2,309,595
1.2	Government securities	1,270,763	2,826,672	886,404	1,910,478	1,270,763	2,826,672	886,404	1,910,478
1.3	Deposits and placements with banking institutions	35,848	58,361	29,091	32,996	35,848	58,361	29,090	32,996
1.4	Other Interest Income	-	-	-	-	-	-	-	-
1.5	Total interest income	3,723,743	7,676,483	2,083,146	4,318,025	3,638,194	7,514,324	2,050,912	4,253,070
2	INTEREST EXPENSES	-	-	-	-	-	-	-	-
2.1	Customer deposits	1,394,862	2,761,113	722,100	1,484,050	1,390,606	2,750,332	718,886	1,477,588
2.2	Deposits and placement from banking institutions	46,530	70,306	6,039	33,979	46,530	70,306	6,039	33,979
2.3	Other interest expenses	157,471	330,632	60,220	97,248	157,575	330,632	60,220	97,248
2.4	Total interest expenses	1,598,862	3,162,051	788,359	1,615,277	1,594,712	3,151,269	785,145	1,608,815
3	NET INTEREST INCOME/(LOSS)	2,124,879	4,514,432	1,294,785	2,702,749	2,043,482	4,363,055	1,265,767	2,644,255
4	OTHER OPERATING INCOME	-	-	-	-	-	-	-	-
4.1	Fees and commissions on loans and advances	104,287	249,973	57,628	130,168	104,287	249,973	57,628	130,168
4.2	Other fees and commissions	144,141	294,580	90,740	185,966	248,671	294,580	90,740	185,966
4.3	Foreign exchange trading income/(Loss)	59,639	106,890	25,631	49,856	59,639	106,890	25,631	49,856
4.4	Dividend Income	-	-	-	-	-	-	-	-
4.5	Other income	95,976	218,303	84,284	126,761	431,709	1,155,301	395,147	794,339
4.6	Total Non-interest income	404,043	869,746	258,284	492,752	844,306	1,806,743	569,146	1,160,329
5	TOTAL OPERATING INCOME	2,528,922	5,384,178	1,553,069	3,195,501	2,887,789	6,169,798	1,834,913	3,804,584
6	OPERATING EXPENSES	-	-	-	-	-	-	-	-
6.1	Loan loss provision	210,643	408,283	112,920	273,856	210,643	408,283	112,920	273,856
6.2	Staff costs	907,168	1,984,180	544,463	1,106,022	1,046,130	2,311,374	659,061	1,349,718
6.3	Directors' emoluments	11,536	14,558	7,728	13,680	19,726	31,759	13,832	30,100
6.4	Rental charges	30,646	59,018	13,427	27,093	36,774	59,018	13,427	27,093
6.5	Depreciation charge on property and equipment	73,882	144,776	40,355	84,350	77,874	153,000	42,600	88,935
6.6	Amortisation charges	31,075	66,901	17,017	32,375	31,185	67,150	17,112	32,565
6.7	Other operating expenses	707,321	1,498,283	342,082	723,535	762,569	1,655,160	368,523	777,782
6.8	Total Other Operating Expenses	1,972,270	4,175,998	1,078,002	2,260,910	2,184,901	4,685,743	1,227,475	2,580,048
7	Profit/(loss) before tax and exceptional items	556,651	1,208,180	475,067	934,591	702,887	1,484,054	607,438	1,224,536
8	Exceptional items	(237)	(106)	-	-	(237)	125,431	-	-
9	Profit/(loss) after exceptional items	556,414	1,208,074	475,067	934,591	702,650	1,609,485	607,438	1,224,536
10	Current tax	(6,894)	(12,296)	(96,916)	(194,265)	(17,179)	(38,544)	(109,123)	(218,245)
11	Deferred tax	(61,132)	(184,162)	(22,822)	(7,964)	(61,132)	(148,650)	(22,822)	(7,964)
12	Profit/(loss) after tax and exceptional items	488,388	1,011,616	355,329	732,361	624,339	1,422,292	475,494	998,326
13	Other Comprehensive Income	-	-	-	-	-	-	-	-
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	638,551	916,959	468,870	(627,175)	638,551	916,959	468,870	(627,175)
13.3	Revaluation surplus on Property, plant and equipment	-	-	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	(191,565)	(275,088)	(140,661)	188,152	(191,565)	(275,088)	(140,661)	188,152
14	Other Comprehensive Income for the year net of tax	446,986	641,872	328,209	(439,022)	446,986	641,872	328,209	(439,022)
15	Total comprehensive income for the year	935,374	1,653,488	683,538	293,339	1,071,325	2,064,163	803,703	559,304
	Earnings Per Share	90.27	93.50	32.84	67.69	0.66	0.75	0.25	0.53

III	OTHER DISCLOSURES	BANK				GROUP			
		30.06.2025 UnAudited (Ksh'000)	31.12.2025 Audited (Ksh'000)	31.03.2026 UnAudited (Ksh'000)	30.06.2026 UnAudited (Ksh'000)	30.06.2025 UnAudited (Ksh'000)	31.12.2025 Audited (Ksh'000)	31.03.2026 UnAudited (Ksh'000)	30.06.2026 UnAudited (Ksh'000)
1	Non-Performing Loans and Advances								
a)	Gross non-performing loans and advances	11,430,042	11,063,077	10,955,876	11,191,830	11,430,042	11,063,077	10,955,876	11,191,830
b)	Less: Interest in Suspense	3,343,758	3,006,068	3,072,786	3,111,286	3,343,758	3,006,068	3,072,786	3,111,286
c)	Total non-Performing loans and advances (a-b)	8,086,285	8,057,009	7,883,090	8,080,544	8,086,285	8,057,009	7,883,090	8,080,544
d)	Less: Loan loss provisions	5,274,299	5,647,480	5,761,390	5,899,701	5,274,299	5,647,480	5,761,390	5,899,701
e)	Net non-performing loans and advances(c-d)	2,811,985	2,409,530	2,121,700	2,180,843	2,811,985	2,409,530	2,121,700	2,180,843
f)	Discounted value of securities	2,811,985	2,409,530	2,121,700	2,180,843	2,811,985	2,409,530	2,121,700	2,180,843
g)	Net Exposure(e-f)	-	-	-	-	-	-	-	-
2	Insider loans and advances								
a)	Directors, shareholders and associates	903,262	820,449	1,463,268	1,384,091	903,262	820,449	1,463,268	1,384,091
b)	Employees	1,406,306	1,420,935	1,431,730	1,492,735	1,406,306	1,420,935	1,431,730	1,492,735
c)	Total insider Loans and Advances	2,309,568	2,241,384	2,894,998	2,876,826	2,309,569	2,241,384	2,894,998	2,876,826
3	Off-Balance Sheet items								
a)	Letters of credit, guarantees and acceptances	2,520,836	4,320,299	4,598,172	4,713,876	2,520,836	4,320,299	4,598,172	4,713,876
b)	Forwards, swaps and options	1,535,375	1,009,825	1,472,475	1,676,215	1,535,375	1,009,825	1,472,475	1,676,215
c)	Other contingent liabilities								
d)	Total contingent liabilities	4,056,211	5,330,124	6,070,647	6,390,091	4,056,211	5,330,124	6,070,647	6,390,091
4	Capital Strength								
a)	Core capital	8,986,331	10,148,987	10,298,136	10,495,720				
b)	Minimum Statutory Capital	1,000,000	3,000,000	3,000,000	3,000,000				
c)	Excess/Deficiency	7,986,331	7,148,987	7,298,136	7,495,720				
d)	Supplementary capital	1,198,681	1,153,527	752,596	790,344				
e)	Total capital (a+d)	10,185,012	11,302,514	11,050,732	11,286,064				
f)	Total risk weighted assets	42,101,175	46,488,796	47,747,652	50,767,509				
g)	Core capital /Total deposit liabilities	17.1%	18.1%	15.7%	15.3%				
h)	Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%				
i)	Excess/Deficiency	9.1%	10.1%	7.7%	7.3%				
j)	Core capital /Total risk weighted assets	21.3%	21.8%	21.6%	20.7%				
k)	Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%				
l)	Excess/Deficiency (j-k)	10.8%	11.3%	11.1%	10.2%				
m)	Total capital /Total risk weighted assets	24.2%	24.3%	23.1%	22.2%				
n)	Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%				
o)	Excess/Deficiency (m-n)	9.7%	9.8%	8.6%	7.7%				
p)	Adjusted Core Capital/Total Deposit Liabilities*								
q)	Adjusted Core Capital/Total Risk Weighted Assets*								
r)	Adjusted Total Capital/Total Risk Weighted Assets*								
5	Liquidity								
a)	Liquidity Ratio	51.4%	51.5%	56.6%	54.4%				
b)	Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%				
c)	Excess(Deficiency) [a-b]	31.4%	31.5%	36.6%	34.4%				